

research and collect needed information. This distinct filter leans back against the overabundance of choice by focusing Graham and Dodd on a rare set of companies and a circumscribed set of information to be examined.

When trying to select exceptional investment managers for our endowment, we use this concept of an investment filter as a first step in our process. In our way of thinking, a compelling investment filter has several characteristics. First, the filter must allow a manager to quickly discard the vast majority of potential investments on offer. One can easily imagine Graham and Dodd fairly rapidly dismissing most securities they examined as overly speculative, or engaged in a low-quality business endeavor, or not obviously inexpensive, instead directing their full attention to a manageable set of opportunities.

Second, a good investment filter should lead naturally to a good universe of opportunities. Investment managers whose filters lead them to out-of-favor areas, misunderstood industries, arenas of dynamic change, or assets where significant involvement can add value are more likely to find securities with attractive return prospects. Finally, a good investment filter must match an investor's temperament, resources, and capabilities. An investor may see opportunity in Silicon Valley's latest start-ups, but without the network needed to find the company early, the technical background needed to assess the opportunity, the operating background needed to offer valuable advice to the founders, the prior track record of success that helps convince companies to take capital from one investor over another, and the deep-pocketed capital base needed to support start-up companies to profitability, investors are unlikely to succeed in this arena no matter how compelling the underlying opportunity set.

A few managers in our portfolio use an owner-operator filter. Investment managers with this filter search for publicly listed companies led by an involved founder who owns a meaningful